INTRODUCTION

A fixed-income instrument's cash flows are determined by its features. In this module, we discuss common fixed-income instrument cash flow structures and their implications for issuers and investors. The module's final lesson discusses the legal, regulatory, and tax considerations across jurisdictions faced by fixed-income issuers and investors.

Category
Fixed-Income Cash Flows and Types

Learning Module Overview

- In contrast to standard bullet bonds with full principal repayment at maturity, amortizing bonds have a payment schedule that involves early repayment of principal. Sinking funds and waterfall structures represent special cases of amortizing bonds.
- Other coupon payment structures include index-linked bonds that offer payments adjusted for changes in price indices and bonds with step-up coupons, with coupons that increase by specific amounts in the future based on a schedule or subject to specific provisions.
- Fixed-income contingency provisions include call, put, and conversion features. A call feature grants an issuer the right to buy bonds back early at a fixed price, while a put feature grants an investor the right to sell bonds to the issuer at a fixed price prior to maturity. Convertible bonds grant investors the right to convert the bond into shares of the issuer's stock at a pre-determined price.
- Bonds can be classified as domestic, foreign, or Eurobonds. Domestic bonds are those issued in a country by an issuer incorporated in that same country, while foreign bonds are issued by entities incorporated elsewhere.
- Eurobonds are issued internationally in a currency different from that country's domestic currency (e.g. US dollar bonds issued in London) and are subject to fewer listing, disclosure, and regulatory requirements than domestic or foreign bonds.
- Bond interest earned by an investor is usually taxed as ordinary income, although some bonds offer tax advantages. Some countries also apply a capital gains tax. Specific tax provisions often apply for bonds issued at a discount or purchased at a premium.

Learning Module Self-Assessment

These initial questions are intended to help you gauge your current level of understanding of this learning module.

1. An investor that is more sensitive to an issuer's credit risk than to reinvesting risk would most likely invest in a:

A. bullet bond.
B. partially amortizing bond.
C. fully amortizing bond.

Hide Solution

Solution:

reduced over time. However, investors also face the risk of reinvesting the higher near-term cash flows at prevailing market interest rates, which can fluctuate. This effect is larger for fully amortizing bonds versus partially amortizing bonds.

2. Match the term in the left column with its description in the right column.

A. Bullet bond	I. A bond with a fixed periodic payment schedule that reduces the bond's outstanding principal to a portion of the principal to be repaid on the maturity date
B. Partially amortizing bond	II. A bond with a coupon rate that increases by specified margins at one or more specified dates
C. Step-up coupon bond	III. A bond that pays its face value and final interest payment at maturity

Hide Solution

Solution:

A. III is correct. A bullet bond pays 100% of its face value plus a final interest payment at the bond's maturity.
B. I is correct. A bond characterized by a fixed periodic payment schedule that reduces the bond's outstanding principal to a portion of the principal to be repaid on the maturity date is known as a partially amortizing bond.
C. II is correct. A bond with a coupon rate that increases by specified margins at one or more specified dates is known as a step-up coupon bond.

3. A call provision embedded in a fixed-income security:

A. is a benefit to the issuer.
B. gives the bondholder the right but not an obligation to sell the bond.
C. grants the bondholder some degree of inflation protection.

Hide Solution

Solution:

A is correct. A call provision gives the issuer the right to redeem all or part of the bond at a pre-determined price on specified dates. It is a benefit to the issuer because if market interest rates fall, the issuer can replace the callable bond with one with a lower interest rate. It also gives the issuer added flexibility if it has excess cash or wishes to change its capital structure in the future.

B is incorrect. This describes a putable bond, not a callable bond. If a callable bond is called, the bondholder is obliged to sell it to the issuer according to the specified terms.

C is incorrect. A call provision does not grant the bondholder inflation protection. A call would be exercised by the issuer if interest rates fall.

4. A put provision embedded in a fixed-income security:

A. is a benefit to the bondholders.
B. leads to a lower value compared to a bullet bond.
C. increases the likelihood that its issuer will be acquired.

Hide Solution

Solution:

A is correct. A put provision gives bondholders the right to sell the bonds back to the issuer at a pre-determined price on specified dates. The put provision is a benefit to bondholders because it can protect them from the risk of the price of the bond falling from, for example, rising interest rates.

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C is incorrect. Put provisions can deter acquirers because the exercise of putable bonds results in an immediate claim on cash, making the acquisition more expensive. Issuing bonds with put provisions is a strategy employed by some firms to deter unfriendly takeovers known as a "poison puts."

5. Match the term in the left column with its description in the right column.

A. Eurobond	I. A bond issued outside the jurisdiction of any single country
B. Global bond	II. A bond issued simultaneously in the Eurobond market and in at least one domestic bond market

Hide Solution

Solution:

A. I is correct. Eurobonds are issued outside the jurisdiction of any single country, are usually unsecured, and may be denominated in any currency, including the issuer's domestic currency.

B. II is correct. A global bond is a bond issued simultaneously in the Eurobond market and in at least one domestic bond market, ensuring sufficient demand for large bond issues and access to all fixed-income investors regardless of location.

6. Compared to a bond with an original issue discount (OID) tax provision, an otherwise identical bond without this provision would *most likely* have:

A. lower taxes due at maturity.
B. the same taxes due at maturity.
C. higher taxes due at maturity.

Hide Solution

Solution:

C is correct. Under the OID tax provision, the investor will recognize a prorated portion of the OID as taxable income each year and pay no capital gains tax upon maturity. Investors without an OID tax provision will recognize no taxable income until maturity, upon which they will face capital gains tax on the OID (provided there is capital gains tax in their jurisdiction).

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